

Canva



Figure 1. Canva logo

T. Schneider / Shutterstock.com

In 2012, Melanie Perkins cofounded Canva (Figure 1), a graphic design platform, with a vision to democratize design¹ by making powerful, easy-to-use tools and templates accessible to anyone at little to no cost. Within 10 years, Perkins had become one of the youngest female CEO billionaires in history, leading a company valued at \$40 billion by 2021 (Lachlan 2021). Her journey to success was fraught with

challenges, however, particularly when it came to securing funding and assembling a tech team capable of bringing her vision to life.

A critical decision emerged in 2013, a year after Perkins founded Canva: Should Canva hire a less experienced engineer to expedite progress, or continue the arduous search for a highly skilled candidate to build the solid foundation that Canva sorely needed?

An Opportunity for Innovation

In 2007, as a 19-year-old university student in Perth, Australia, Perkins was frustrated by the complexity and cost of design software such as Microsoft Publisher and Adobe InDesign.

“People would have to spend an entire semester learning where the buttons were, and that seemed completely ridiculous,” Perkins said in an interview with CNBC’s *Make It*. “I thought that in the future it was all going to be online and collaborative and much, much simpler than these really hard tools” (Gilchrist 2020).

In 2008, she and her boyfriend and future business partner, Cliff Obrecht, set a lofty goal—they wanted to disrupt the entire publishing industry, much as desktop publishing had upended the manual typesetting industry decades earlier.² They believed high-end collaborative design could be more like Google docs—and despite their lack of coding, publishing, or business experience, they believed they could pull it off.

¹ Design in the production of books, websites, posters, and other materials means selecting details such as fonts, colors, and art to make an appealing visual presentation.

² In the 1980s, products like Adobe PageMaker made it possible for publishers to design full pages of publications like magazines and newspapers on a computer desktop—a process that was previously done by hand, “cutting and pasting” lines of type and images. The new software revolutionized the publishing industry.

But they had to start somewhere, and Perkins, whose mom was a teacher and school yearbook adviser, realized there was a pressing market opportunity in quality yearbook design. In 2011, with a contracted tech team, Perkins and Obrecht launched Fusion Books, which became Australia's largest yearbook company, using printing machines in Perkins' family living room.

Soon, customers started asking about other potential uses for the software, and Perkins knew it was time to expand. But taking on publishing giants like Microsoft and Adobe would take millions of dollars, and she and Obrecht struggled to get funding beyond her friends and family. With little credit history or business experience, they couldn't get a bank loan.

Learning to Lead

While they were running Fusion Books, Perkins and Obrecht lived frugally with her mom and taught themselves how to build a business and generate sales. They interviewed every software company in Perth before signing a contract, and Obrecht cold called hundreds of schools to secure 16 contracts in the first year, which grew to 50, 100, and eventually 400 schools within a few years (Konrad 2022).

They reinvested the revenue into marketing, read books about leadership, developed business management and customer service skills, and began attending industry conferences. At a 2010 conference in Perth, Perkins heard angel investor Bill Tai speak. She approached him after his talk and told Tai about her idea to disrupt the desktop publishing world, and he suggested they connect next time she was in San Francisco. So, Perkins planned a two-week trip to San Francisco (where she would sleep on the floor in her brother's apartment) and told Tai she would be in town. To her surprise, he met her for lunch.

Perkins printed out her sales deck and pitched to Tai over lunch—while he texted on his phone. She was skeptical that it would lead to anything, but when she got home to Perth, a message was waiting. If she could assemble a tech team, Tai would be willing to invest. Not only that, but he'd set up meetings for her, including one with Lars Rasmussen, cofounder of Google Maps. To secure Tai's investment, she would need Rasmussen's approval of her tech team hires. (Raz 2019)

A Relentless Search

Getting Tai and Rasmussen involved was a double dose of great news, but it was just the beginning of what would become a yearlong quest to find the perfect engineer. Rasmussen had very high standards and would test candidates with rigorous problem-solving challenges during interviews. He told her, "You need the best of the best of the best if you're going to carry this out" (Whittaker 2024).

Despite their experience at Fusion Books, neither Perkins nor Obrecht had training or experience running a tech company, and they were not known in Silicon Valley (or really anywhere in the U.S.). Perkins went back to the San Francisco area for an extended stay and began her tireless search for the right engineer. She attended every tech conference she could find, spoke at events,

and networked tirelessly, pitching the job and her vision to over 100 people. For Perkins, who is an introvert by nature, this was exhausting.

In an interview with Guy Raz on Wondery's *How I Built This* podcast, she said, "If I could do a one-minute pitch at a conference, I'd get up and do it. Completely terrified, but I'd just keep on pushing myself because I just wanted this to happen."

Despite her efforts, Rasmussen rejected each candidate she produced. Perkins cold called engineers, approached people on buses, and scoured LinkedIn, but no one was good enough. After three months, she returned home with no investment and no engineer.

"I left feeling like the biggest failure. I had not landed a tech team, which meant that I had not landed investors. Which meant that all I had accomplished was ... nothing ... " (Raz 2019).

Kitesurfing for Investors

Soon, though, Perkins got a lift from an unexpected source: kitesurfing. Bill Tai was a kitesurfing fanatic and invited her to his annual networking event in Hawaii. MaiTai was a conference for tech startups and industry leaders in the morning and a kitesurfing excursion off the coast of Maui in the afternoon. At MaiTai, through Tai's connections, Perkins met many potential investors, including an ex-CEO of image-sharing company Shutterfly.

Still, despite several promising leads, Perkins left the island with zero dollars of investor money and no closer to a product. So what was the problem? In her interview with Guy Raz, she was asked if potential investors were asking, "Where's the tech team? Where's the CTO?" Perkins admitted, "That's literally what everyone was saying. It makes perfect sense, how are we going to get this thing rolling?"

Perkins juggled her search for engineers and investor outreach; she was constantly refining her pitch. Months turned into a year, and still no one was good enough. "[Rasmussen] didn't think they had enough startup gumption or experience with a world-scale company, or with complex technology" (Weisul 2019). She began to wonder if hiring someone—even if they were not perfect—would be better than continued stalling.

By mid-2013, Perkins faced mounting pressure. Potential investors had high expectations and the market was ripe for Canva's innovative solution to affordable design. Perkins found herself at a crossroads: Should she lower the hiring bar and bring in a less experienced engineer to move the project forward, even at the cost of losing Tai's support, or should she continue the search for top-tier talent, risking further delays?

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